

yesterday's railroad system. (Over the next year, Norfolk Southern gained 35%, while Cisco lost 70%.)

⁵ When asked what keeps most individual investors from succeeding, Graham had a concise answer: "The primary cause of failure is that they pay too much attention to what the stock market is doing currently." See "Benjamin Graham: Thoughts on Security Analysis" [transcript of lecture at Northeast Missouri State University Business School, March, 1972], *Financial History* magazine, no. 42, March, 1991, p. 8.

⁶ Never mind what these terms mean, or are supposed to mean. While in public these classifications are treated with the utmost respect, in private most people in the investment business regard them with the contempt normally reserved for jokes that aren't funny.

⁷ See the brilliant column by Walter Updegrave, "Keep It Real," *Money*, February, 2002, pp. 53–56.

⁸ See Jason Zweig, "Did You Beat the Market?" *Money*, January, 2000, pp. 55–58.

⁹ The neuroscience of investing is explored in Jason Zweig, "Are You Wired for Wealth?" *Money*, October, 2002, pp. 74–83, also available at http://money.cnn.com/2002/09/25/pf/investing/agenda_brain_short/index.htm. See also Jason Zweig, "The Trouble with Humans," *Money*, November, 2000, pp. 67–70.

¹⁰ It's also worth asking whether you could enjoy living in your house if its market price was reported to the last penny every day in the newspapers and on TV.

¹¹ In a series of remarkable experiments in the late 1980s, a psychologist at Columbia and Harvard, Paul Andreassen, showed that investors who received frequent news updates on their stocks earned half the returns of investors who got no news at all. See Jason Zweig, "Here's How to Use the News and Tune Out the Noise," *Money*, July, 1998, pp. 63–64.

¹² Federal tax law is subject to constant change. The example of Coca-Cola stock given here is valid under the provisions of the U.S. tax code as it stood in early 2003.

¹³ This example assumes that the investor had no realized capital gains in 2002 and did not reinvest any Coke dividends. Tax swaps are not to be undertaken lightly, since they can be mishandled easily. Before doing a tax swap, read IRS Publication 550 (www.irs.gov/pub/irspdf/p550.pdf). A good guide to managing your investment taxes is Robert N. Gordon with Jan M. Rosen, *Wall Street Secrets for Tax-Efficient Investing* (Bloomberg Press, Princeton, New Jersey, 2001). Finally, before you pull the trigger, consult a professional tax adviser.